Driving Economic Growth: The Role of Investment, Inflation Stability and Foreign Direct Investment-Executive Summary

INTRODUCTION

This analysis examines the relationship between GDP growth per capital, Gross Fixed Capital Formation (GFCF), inflation, and Foreign Direct Investment (FDI) over the period of 24 years. This analysis is done on 8 different countries Australia, Austria, Belgium, Canada, Czechia, Denmark, France and Spain. The findings indicate that economic growth is primarily driven by investment, with higher levels of capital formation consistently associated with stronger GDP performance.

INSIGHTS AND FINDINGS

FDI plays a critical supporting role by injecting capital, technology, and expertise, thereby enhancing investment capacity. Czechia's sustained high FDI in the early 2000s (8–10% of GDP) preceded its strongest GDP growth period (4–6% annually from 2004–2007). FDI builds productive capacity before growth shows up in the GDP number — typically with a 1–2-year lag. GFCF tells us a different story as it shows that countries may have enough funds but have declining economic growth. It directly adds to GDP in the current period and builds the capital stock that raises future productivity. Spain's GFCF collapse from 30% to 18% after 2008 is the single clearest explanation for why Spain's GDP growth has been anemic for a decade. Moderate inflation (1.5–3%) signals healthy demand and gives firms pricing power to invest. Too low (near-zero as seen across the group in 2014–2016) signals demand weakness and deters investment. Too high (Czechia at 15.1% in 2022) destroys real purchasing power, forces central bank tightening, raises borrowing costs, and suppresses both FDI and GFCF.

CONCLUSION

Overall, the results demonstrate a clear dynamic: investment drives growth, FDI strengthens investment, and stable inflation sustains the growth environment. To achieve consistent economic performance, policymakers should prioritize strategies that promote capital formation, maintain inflation stability, and create a conducive environment for sustained foreign investment inflows. The concerns going forward are structural: Canada and Austria face demographic-driven per-capita contraction; Belgium and Austria face capital outflow trends; Czechia faces lingering inflation; and the group is growing well below its pre-crisis 2000–2007 trend rate. Denmark emerges as the peer group leader on virtually every metric entering 2025.